in the midst of fighting a raging battle against inflation. Going away at this time would have felt like walking away from the battlefield, no matter that it would have been involuntary. Besides, I had started enjoying the job of the governor. When I came into the Reserve Bank three years earlier, I did so—as I wrote earlier—with some trepidation and fear of the unknown. By now, I was in a comfort zone. I had invested in learning and understanding, getting to know the issues and the people, and setting my agenda and priorities. Leaving all this midway would have felt incomplete at a deeply personal level. I had established personal friendships and professional bonds; it felt too soon to tear them asunder. We had, in the previous year, celebrated the Reserve Bank's platinum jubilee which was—I cannot fully capture this in writing—a very fulfilling experience for me. It gave me a keen sense of the history, traditions and ethos of this great institution. Leaving an institution that grew on me so much in the previous year would have left me in an emotional vacuum.

Maybe at some level, I was not completely agnostic about an extension! Because there was a nagging feeling at the back of my mind that not being given an extension would have felt like a seal of disapproval on my performance. That would have been difficult to countenance at any stage of my career, and would have been even more so at the very end. But I had no illusions either. I was by no means irreplaceable. I might miss the Reserve Bank, but the mighty Reserve Bank would move on under a new leadership.

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Under the Reserve Bank Act, the governor can be appointed 'for a term not exceeding five years' and can be reappointed. Except in the case of Y.V. Reddy, my immediate predecessor, who was given a straight five-year term, the normal practice of the government had been to make the initial appointment for three years and give an extension. This was the case with the two governors before Reddy—Rangarajan and Bimal Jalan; my initial appointment for three years was in accord with this practice.